



Titan posted good set of numbers mainly on account of studded activation & good buyer growth. Management maintains revenue guidance of 19-20% with EBIT margin of 12-13% in jewellery business. Demand largely driven by premium channels & brands. Economical segment yet to catch up.

- Revenue at ₹91,630 Mn vs ₹74,930 Mn (+22% YoY) vs ₹94,430 Mn (-3% QoQ) || Revenue excluding bullion sales at ₹87,420 Mn vs ₹73,560 Mn (+18.8%)
- EBITDA at ₹12,470 Mn vs ₹9,680 Mn (+28% YoY) vs ₹11,960 Mn (+4% QoQ)
- EBITDA Margin at 13.6% vs 12.9% (YoY) vs 12.7% (QoQ)
- Adj PAT at ₹8,310 Mn vs ₹6,390 Mn (+30% YoY) vs ₹7,850 Mn (+6% QoQ)
- EPS at ₹9.3 vs ₹7.2 (YoY) vs ₹8.8 (QoQ)

Segmentals

- Jewellery: (87% of Income)**
 - Revenues grew by 21.7% YoY to Rs 79,970 mn, EBIT margins 13.6% vs 12.2% YoY and 12.6% QoQ
Stores +37 in Q2FY23 || Total 645
- Watches (9% of Income)**
 - Revenues grew by 20 % YoY to Rs 8,300 mn
EBIT margins 14.7 % v/s 13 % YoY and 12.5% QoQ
Stores (fasttrack+WOT+Helios) +23 in Q2FY23 || Total 905
- EyeWear (2% of Income)**
 - Revenue grew by 4.4% YoY to Rs 1,670 mn,
EBIT margins 16.7% v/s 23.1% YoY and 19.7% QoQ
Store +38 in Q2FY23 || Total 827
- Others (2% of Income)**
 - Revenue grew by 98% YoY to Rs 1,960 mn,
EBIT margins -1.02 % v/s -3.03 % YoY and -11.1% QoQ

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	2,10,515	2,16,450	2,87,990	3,86,181	4,59,905
EBIDTA	24,666	17,250	33,410	51,147	63,255
Margins	11.7	8.0	11.6	13.2	13.8
Adjusted net profit	15,014	9,740	22,270	36,618	44,929
EPS (Rs)	16.9	10.9	25.0	41	50
P/E (x)	143.8	222.2	97.2	59.1	48.2
EV/EBITDA (x)	88.1	124.3	64.0	42.0	34.1
RoCE (%)	24.5	15.1	27.8	36.7	40.5
RoE (%)	22.5	13.0	24.4	32.4	32.1

Source: Company

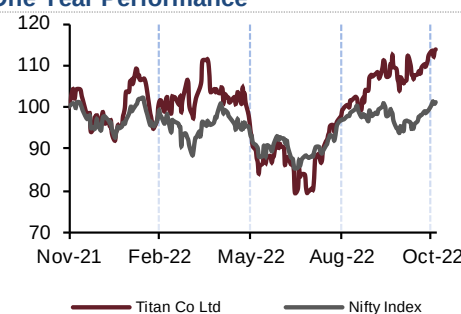
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,873	4

Market data

Current price	Rs	2,770
Market Cap (Rs.Bn)	(Rs Bn)	2,459
Market Cap (US\$ Mn)	(US\$ Mn)	29,664
Face Value	Rs	1
52 Weeks High/Low	Rs	2,791 / 1,825
Average Daily Volume	('000)	1,294
BSE Code		500114
Bloomberg		TTAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	52.9	52.9
Public	47.1	47.1
Total	100.0	100.0

Source: BSE

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Conference Call Highlights

A. Jewellery Division (87% of revenue) : Studded Activation Qtr

- Medium term outlook : Positive (**Market opportunity : ~4 lakh crs**)
- **Demand scenario** : Economical segment not doing well || Premium channels & brands doing well || Wedding demand muted in Q1 & Q2 || Anticipation of H2 to be better but no initial signs seen
- Key drivers in this quarter : Healthy pick up on gold || studded activation quarter
- Maintains Jewellery EBIT guidance of 12-13%
- Studded share still lower than pre-covid by 500 bps but started to catch-up : Q2FY20 @ 41% vs Q2FY23 @35%
- Competitive price intensity getting higher from organized players
- Revenue growth CAGR from pre-pandemic level @ 23% (6% ticket size growth & 17% new buyers growth)
- New buyer share : Q2FY23 @ 46% vs Q1FY23 @ 43%
- **International business target :**
- Revenue : Rs.2,500 cr by FY27
- Stores : 30 stores
- Runrate per store : Rs.80-100 crs per store p.a
- Diamond prices have plateaued but supply remains a constraint
- **Zoya : 3 years back : Rs.66 crs || LY : Rs.135 crs || 7 Months FY23 : Rs.135 crs || FY23E : Rs.230 crs**
- **Tanishq Store Addition : 14+ stores in H1FY23 || Expanded 11+ stores || Total : 25 stores || FY23E Target : ~30-35 stores**

B. Watches & Wearables Division (9% of revenue)

- Watches : Very high operating leverage business
- **Demand scenario : Good demand seen in higher price band**

C. Eye Wear Division (2% of revenue)

- Guides for mid teen EBIT margins of 13-14%

D. Other business – Indian Dress Wear, Fragrances and Accessories (2% of revenue)

- Taneira Store count : FY23E : 50 stores || FY24E : 30-35 stores
- Franchise store contribution @ 55%

Key Subsidiaries:**Caratlane**

- No capital infusion required
- Working capital debt ~Rs.400 crs
- Market size : Rs.4,500 crs (1/3rd organized) ; Can grow to Rs.7,000 crs in next 3-4 years
- Target of Rs.1,000 crs in 5 years
- Store Addition : +20 in H1FY23 || +14 in Q1FY23

Investor Presentation Key Details Jewellery

- ~6% market share
- Buyers growth +10% (new buyer mix close to 50%)
- Studded growth +25% YoY (driven by good activations and contribution from high value purchases)
- Studded vs others mix : 32 : 68

Watches & wearables

- Double digit volume growth in brand Titan and in Helios channel

Quarterly Financials

Particulars (Rs Mns)	Q2FY23	Q2FY22	Growth (%)	Q1FY23	Growth (%)
Sale of products/services	85,670	72,430	18.3	89,750	(4.5)
Other operating revenues	5,960	2,500	138.4	4,680	27.4
Total Operating Revenues	91,630	74,930	22.3	94,430	(3.0)
Other income	610	550	10.9	440	38.6
Total Income	92,240	75,480	22.2	94,870	(2.8)
Cost of Materials Consumed	74,790	49,550	50.9	48,500	54.2
Purchase of stock-in-trade	16,340	10,090	61.9	12,900	26.7
Changes in stock	(24,830)	(3,460)	617.6	8,980	(376.5)
Total RM Cost	66,300	56,180	18.0	70,380	(5.8)
RM to Op Revenue	72.36%	74.98%		74.53%	
Employee benefits expense	3,920	3,170	23.7	3,870	1.3
Employee to Op Revenue	4.28%	4.23%		4.10%	
Advertising	2,240	1,350	65.9	2,180	2.8
Ad Spends to OP Revenue	2.44%	1.80%		2.31%	
Other expenses	6,700	4,550	47.3	6,040	10.9
O. Exps to Op Revenue	7.31%	6.07%		6.40%	
EBITDA (exc. OI)	12,470	9,680	28.8	11,960	4.3
EBITDA Margin	13.61%	12.92%		12.67%	
EBITDA	13,080	10,230	27.9	12,400	5.5
Depreciation	1,060	1,040	1.9	1,030	2.9
PBIT	12,020	9,190	30.8	11,370	5.7
Interest	600	510	17.6	650	(7.7)
PBT	11,420	8,680	31.6	10,720	6.5
Total Tax	3,070	2,270	35.2	2,820	8.9
Tax Rate	26.9%	26.2%		26.3%	
PAT	8,350	6,410	30.3	7,900	5.7
Exceptional item					
Share of profit from JV/ Associate		-		-	
Minority Interest	40	20	100.0	50	(20.0)
Adjusted PAT	8,310	6,390	30.0	7,850	5.9
NPM	9.01%	8.47%		8.27%	
Equity	890	890		890	
FV	1	1		1	
EPS	9.3	7.2		8.8	5.9
Segmental Revenues					
Watches	8,300	6,890	20.5	7,860	5.6
% to Operating Income	9.0%	9.1%		8.3%	
Jewellery	79,970	65,710	21.7	83,510	(4.2)
% to Operating Income	86.7%	87.1%		88.0%	
Eyewear	1,670	1,600	4.4	1,830	(8.7)
% to Operating Income	1.8%	2.1%		1.9%	
Others	1,960	990	98.0	1,440	36.1
% to Operating Income	2.1%	1.3%		1.5%	
Corporate (unallocated)	340	290	17.2	230	47.8
% to Operating Income	0.4%	0.4%		0.2%	
Total	92,240	75,480	22.2	94,870	(2.8)
PBIT					
Watches	1,220	900	35.6	980	24.5
% to segmental Income	14.70%	13.06%		12.47%	
Jewellery	10,880	8,030	35.5	10,520	3.4
% to segmental Income	13.61%	12.22%		12.60%	
Eyewear	280	370	(24.3)	360	(22.2)
% to segmental Income	16.77%	23.13%		19.67%	
Others	(20)	(30)		(160)	
% to segmental Income	-1.02%	-3.03%		-11.11%	

Valuation & Outlook

Titan posted good set of numbers mainly on account of studded activation & good buyer growth. Management maintains revenue guidance of 19-20% with EBIT margin of 12-13% in jewellery business. Demand largely driven by premium channels & brands. Economical segment yet to catch up. Company plans to open 30-35 stores in the jewellery segment which has been the main growth driver.

Q3FY23 will be a challenging quarter for Titan as Q3FY22 was highest ever quarter in terms of revenue on back of pent demand due to covid. Titan is still ~6% of overall jewellery market & has very big head room to grow.

Titan is amongst few players who has carved its brand in the mind of Indian consumer which is very hard to replicate. With increasing per capita income of Indian consumer Titan is all set to capture the large unorganized market & create a niche brand in multiple consumer segments. We maintain our BUY on DIP rating on the stock

Valuations @ Rs 2,770 : 63x FY24E EPS of Rs.44 and 75x FY23E EPS of Rs.37, we currently have a **BUY ON DIPS rating on the stock for a **target price of Rs. 2,873 valuing the company at 65x FY24E EPS of Rs.44.****

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	2,10,515	2,16,450	2,87,990	3,70,217	4,39,137	Net Profit	15,014	9,740	22,270	32,663	39,346
Operating Expenses	(1,51,551)	(1,64,140)	(2,16,410)	(2,77,663)	(3,29,353)	Add: Dep. & Amort.	3,480	3,750	3,990	4,424	4,814
Employee Cost	(11,994)	(10,650)	(13,490)	(16,660)	(19,322)	Cash profits	18,493	13,490	26,260	37,086	44,160
Other Expenses	(22,305)	(24,410)	(24,680)	(30,033)	(34,769)	(Inc)/Dec in					
Operating Profit	24,666	17,250	33,410	45,861	55,693	-Sundry debtors	1,089	(545)	(1,074)	(337)	(944)
Depreciation	(3,480)	(3,750)	(3,990)	(4,424)	(4,814)	-Inventories	(10,642)	(3,050)	(22,437)	(30,413)	(25,491)
PBIT	21,186	13,500	29,420	41,438	50,880	-Loans/advances	1,661	906	(119)	(131)	(170)
Other income	1,532	1,860	2,340	3,721	3,231	- Other Current Assets	(5,212)	382	(1,552)	(1,549)	(2,050)
						Current Liab and					
Interest	(1,662)	(2,030)	(2,180)	(1,276)	(1,366)	Provisions	3,884	(2,084)	5,733	(342)	3,075
PBT	21,057	13,330	29,580	43,883	52,745	Sundry Creditors	(3,093)	1,923	2,782	3,021	2,549
Profit before tax (post exceptional)	21,057	13,330	29,580	43,883	52,745	Change in working capital	(12,312)	(2,467)	(16,667)	(29,752)	(23,031)
						CF from Oper. activities	6,181	11,023	9,594	7,334	21,129
Provision for tax	(6,090)	(3,530)	(7,060)	(11,045)	(13,276)	CF from Inv. activities	(14,507)	(29,444)	6,037	(3,760)	19,477
Reported PAT	14,967	9,800	22,520	32,838	39,469	CF from Fin. activities	1,472	20,210	892	(13,285)	(43,319)
MI	87	(10)	(250)	(175)	(123)	Cash generated/(utilised)	(6,854)	1,789	16,523	(9,711)	(2,713)
Net Profit	15,054	9,790	22,270	32,663	39,346	Cash at start of the year	10,665	3,811	5,600	22,123	12,412
Adjusted Profit (excl Exceptionals)	15,014	9,740	22,270	32,663	39,346	Cash at end of the year	3,811	5,600	22,123	12,412	9,699

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	888	890	890	890	890	OPM	11.7	8.0	11.6	12.4	12.7
Reserves	65,800	74,080	90,243	1,09,840	1,33,448	NPM	7.08	4.46	7.67	8.73	8.89
Net worth	66,688	74,970	91,133	1,10,730	1,34,338	Tax rate	(28.9)	(26.5)	(23.9)	(25.2)	(25.2)
MI	44	50	300	475	598	Growth Ratios (%)					
Non Current Liabilities	12,501	12,350	12,480	12,108	2,368	Net Sales	6.4	2.8	33.1	28.6	18.6
Current Liabilities	56,266	77,150	92,575	95,231	82,893	Operating Profit	23.9	(30.1)	93.7	37.3	21.4
TOTAL LIABILITIES	1,35,498	1,64,520	1,96,488	2,18,544	2,20,196	PBIT	15.9	(36.3)	117.9	40.8	22.8
Non Current Assets	34,295	32,550	33,221	33,063	27,369	PAT	6.9	(35.1)	128.7	46.7	20.5
Fixed Assets	25,287	24,320	24,193	23,530	17,363	Per Share (Rs.)					
Goodwill	1,230	1,230	1,230	1,230	1,230	Net Earnings (EPS)	17	11	25	37	44
Non Current Investments	444	190	200	200	200	Cash Earnings (CPS)	20.8	15.2	29.5	41.7	49.6
Deferred Tax Asset	1,590	1,050	1,050	1,050	1,050	Dividend	4.0	3.8	6.3	14.7	17.7
Long Term Loans and Advances	1,535	430	473	520	598	Book Value	75.1	84.2	102.4	124.4	150.9
Other Non Current Assets	4,210	5,330	6,075	6,533	6,927	Free Cash Flow	16.3	11.3	10.4	6.8	22.6
Current Assets	1,01,203	1,31,970	1,63,267	1,85,481	1,92,827	Valuation Ratios					
Current investments	1,136	28,050	18,140	18,140	16	P/E(x)	163.8	253.1	110.7	75.5	62.7
Inventories	81,030	84,080	1,06,517	1,36,930	1,62,420	P/B(x)	36.9	32.9	27.1	22.3	18.4
Trade Receivables	3,116	3,660	4,734	5,071	6,016	EV/EBIDTA(x)	100.3	141.8	73.0	53.4	44.2
Cash and Bank Balances	3,811	5,600	22,123	12,412	9,699	Div. Yield(%)	0.1	0.1	0.2	0.5	0.6
Short Term Loans and Advances	561	760	836	920	1,012	FCF Yield(%)	0.6	0.4	0.4	0.2	0.8
Other Current Assets	11,550	9,820	10,917	12,009	13,665	Return Ratios (%)					
TOTAL ASSETS	1,35,498	1,64,520	1,96,488	2,18,544	2,20,196	ROE	23%	13%	24%	29%	29%
	-	-	-	-	-	ROCE	25%	15%	28%	33%	37%

Source: Dalal & Broacha Research, Company

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